

borrow a term from trend following, we were *whipsawed* by our own risk overlay.

That is the dilemma, isn't it? If you believe that mean reversion applies to the performance of trading systems, then if a system doesn't work well for a period of time, there is probably a greater-than-normal probability that it will do well in the subsequent period. Yet, if you are reducing your risk after a drawdown, that would be the exact time when you would have your smallest exposure. On the other hand, there is the argument that by reducing exposure on drawdowns, you reduce the risk of ruin. Ironically, I think that both perspectives are true—reducing exposure after losses will mitigate the chances of a catastrophic loss, but it will do so at the cost of adversely impacting performance.

What misconceptions do people have about markets?

The worst misconception is about what should constitute the “free market.” In the name of free markets, the over-the-counter (OTC) market continues to grow without bounds as a massive profit center for Wall Street banks. Allowing the OTC markets to be unregulated and opaque makes as much sense as leaving 50 eight-year-olds unsupervised for a month. The OTC markets are very often used to take advantage of clients who are “sophisticated” in the legal definition, but are naive in practice. The OTC markets have been built to maximize asymmetries of information and are an example of how markets should not operate. Markets should be fair and transparent, as the futures and equities markets have mostly evolved to be.

What are the worst mistakes the public makes in markets?

Overtrading and listening to tips.

Do losing periods cause any emotional strain? How do you handle it?

Yes, periods of poor performance are difficult. I generally handle it by focusing very hard on improving the trading system.

How would you summarize the trading rules you live by?

Look where others don't. Adjust position sizes to overall risk to target a particular volatility. Pay careful attention to transaction costs.